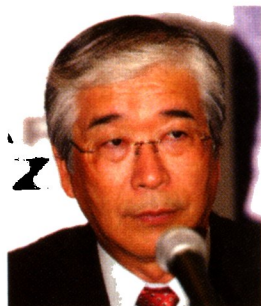


# Maruti-Suzuki: Sitting Pretty at the Top



**Shinzo Nakanishi**  
Managing Director and CEO

**M**ore than a decade after the entry of global automobile giants in India, Maruti Suzuki India Limited continues to sit pretty at the top. The country's largest passenger car manufacturer is now making waves in the global arena as well. The latest feather in its cap is the 4<sup>th</sup> rank among global automobile companies in "Global 200: The World's Best Corporate Reputations" list, compiled by US-based Reputation Institute.

"Maruti Suzuki has been the market leader in India for the past 25 years. The time has now come to play a role in the global market. Maruti has to play a greater role in Suzuki's global family," says Mr. Shinzo Nakanishi, managing director and CEO of the company, who succeeded Mr. Jagdish Khattar in December 2007.

A global vision has only deepened the company's focus on the Indian market. Maruti Suzuki expanded its focus from small cars in India a few years ago with the launch of the Swift model, which has been a runaway success.

"Maruti now focuses on the entire spectrum of a family. We have cars for the young generation as well as for a family," says Mr. Nakanishi.

Many doubted Maruti's ability to stay at the top in the Indian automobile market once the big guns like Toyota, Honda and Hyundai set up manufacturing facilities in the country. But Maruti has successfully faced the challenge from other global players to remain the largest car manufacturer in the country.

In fact, Maruti Suzuki, while continuing to be the elader in the A2 segment (compact cars), dislodged Honda City as the market leader in the A3 segment (sedans) in the country with the launch of its sedan SX4.

With the global automobile market moving towards more fuel-efficient cars, Suzuki has a major edge over competition in the Indian market. Its highly fuel efficient cars, the largest dealer and service network, coupled with easily available and reasonably-priced spare parts provide a major headstart over competition.

The overwhelming response to its latest launch – Swift Dzire – is a testimony to this. The demand for the diesel variant has outstripped the company's expectation. Customers are willing to wait for 4-6 months to take the delivery of this variant. The company has stepped up the production to meet the huge demand.

Though Maruti is aggressively expanding its portfolio to move into the bigger segments, it remains focused on its core market of small cars. Says Mr. Nakanishi, "We have not shifted focus from small to big cars. We are expanding to the bigger car categories. Our base is and will remain small cars."

Explaining the success of the SX4 sedan, Mr Nakanishi said the success of Swift model a few years ago played a big part. "The consumer has recognized that Maruti Suzuki can give them bigger cars with style, performance and modern design."

Mr. Nakanishi says Maruti Suzuki is today proud of fulfilling all the commitments it made to the Indian customers.

Maruti Suzuki will bolster its presence in the global market by starting export of A-Star model in January 2009. The company exported 50,000 units of various models in the year ended March 2008 and hopes to cross the 70,000-mark in export in 2008-09. The export target for 2009-10 is 100,000 units.

For parent company Suzuki, India is now the biggest market, accounting for 30% of Suzuki's global sales volume in automobiles. Suzuki is the market leader in the small car segment in Japan for the past 30 years with 30 per cent volume market share over all these years.

Suzuki is also looking at India as a major research and development (R&D) base. Maruti Suzuki has scaled up its R&D facility in the country to over 450 engineers.

"By 2010, we should have 1,000 engineers at our R&D centre in India", said Mr Nakanishi. In addition, Maruti Suzuki is setting up an R & D Centre in India. It will be at par with Suzuki, Japan. "We want the India centre to have the same skills as Suzuki has in Japan. We would like Maruti's R&D centre to have the capability and skills to completely make its own cars," said Mr. Nakanishi.

